

SOVEREIGN BURDEN

- RBI has raised funds equivalent to 147 tonnes gold through SGBs. The sharp rise in prices has increased government liability
- Of the 67 tranches released, only three have been redeemed. Two are eligible for premature redemption

FINANCIAL YEAR	UNITS SUBSCRIBED	UNITS REDEEMED (INCLUDING PREMATURE REDEMPTION/CANCELLED)	UNITS OUTSTANDING
FY15	0.91	0.91	0
FY16	3.99	3.99	0
FY17	11.39	11.39	0
FY18	6.52	0.46	6.07
FY19	2.03	0.05	1.98
FY20	6.13	-	6.13
FY21	32.35	-	32.35
FY22	27.04	-	27.04
FY23	12.26	-	12.26
FY24	44.34	-	44.34
TOTAL	146.96	16.80	130.16

NOTE IN TONNES; SGBs HAVE AN EIGHT-YEAR MATURITY PERIOD BUT CAN BE REDEEMED AFTER THE 5TH YEAR BUT ONLY ON THE INTEREST PAYMENT DATE **SOURCE** RBI

ate in the next year unless interest rates fall faster than expected or uncertainties rise further, he believes.

Moreover, since 1999 whenever the Sensex-to-gold ratio has been below 1, equities have outperformed in the following three years and vice versa. “The current ratio is 0.86, which is below the long-term average of 0.96. This means gold is slightly overvalued than equities, if we go by historical numbers. Equities tend to stage a comeback,” per a report by Edelweiss Mutual Fund.

Can gold breach the ₹1 lakh mark? “While it’s difficult to pinpoint a timeline, if the momentum continues, gold may touch that level in the near term,” says Bajaj.

HOW TO INVEST

Investing in gold has never been easier, thanks to the digital alterna-

tives available now that eliminate storage concerns while offering liquidity. One of the best options is Gold ETFs, which allow investors to buy gold units on the stock exchanges, backed by 99.5% pure physical gold stored in vaults. The second option are gold mutual funds, which invest in gold ETFs and are ideal for those without a demat account. These two forms of digital gold come under the purview of markets regulator Sebi, compared to digital gold generally sold by mobile wallets, which is unregulated.

Coming to how much gold one should own, diversification is essential. Experts recommend allocating 5–15% of an investment portfolio.

“Around 5–10% of every portfolio should be allocated to gold through gold mutual funds. The position can be built in a staggered

manner,” says Rajul Kothari, Partner at Capital League, a boutique wealth management firm.

However, Bajaj advises investors to stay underweight due to possible correction, “We recommend an underweight stance in the near term and suggest allocating 5–7% of a long-term portfolio.”

Clearly, gold’s story is far from over as India is one of the largest purchasers. With imports around 800 tonnes annually, gold remains deeply ingrained in Indian culture, symbolising security, wealth, and tradition. While short-term volatility may persist, its role as a safe-haven asset remains. Whether you’re a seasoned investor or looking to hedge against uncertainty, gold continues to hold its allure. **BT**

@teena_kaushal